

CANDLESTICK BASICS & KEY PATTERNS

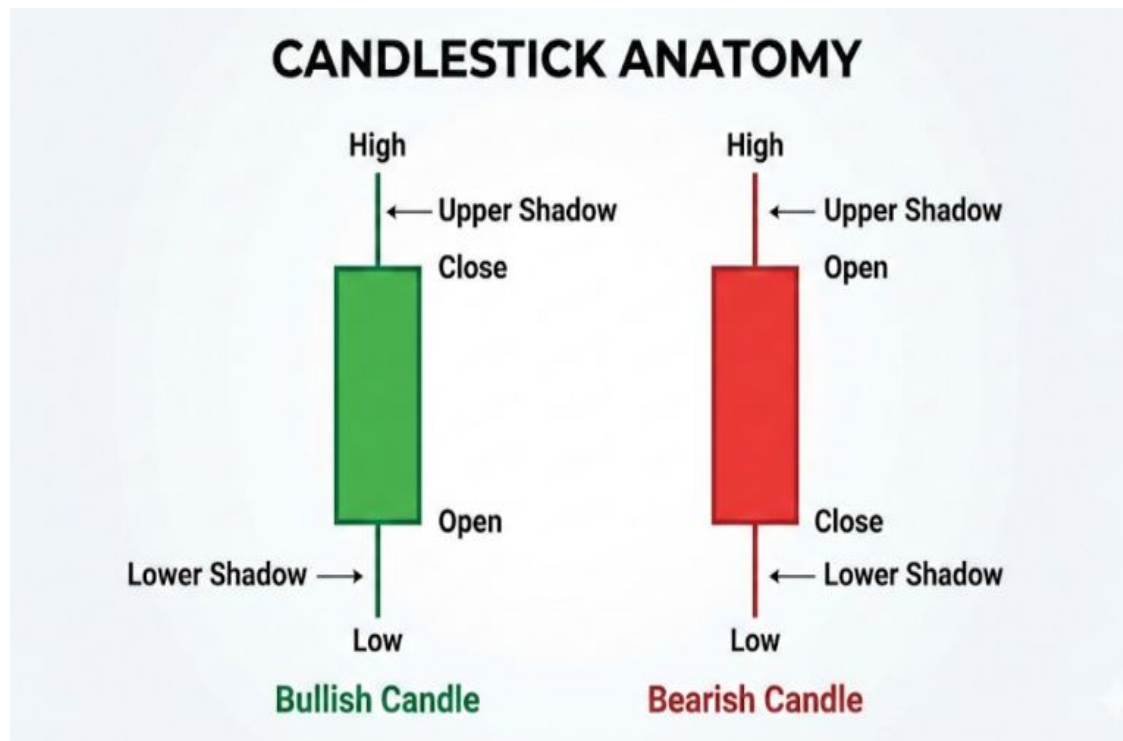
What is a Candlestick?

- In financial trading, a candlestick is a single visual representation of price movement for a specific time period (e.g., 1 minute, 1 hour, or 1 day). Unlike a simple line on a graph that only shows the closing price, a candlestick tells a complete "story" about what happened during that time.
- It is called a "candlestick" because its rectangular body and thin lines (wicks) resemble a candle with a wick sticking out.

Why Candlesticks Matter?

Candlesticks help traders understand:

- Market sentiment (who is stronger: buyers or sellers)
- Trend direction
- Reversal points
- Price strength
- Entry/exit points



Marubozu Candlestick Pattern

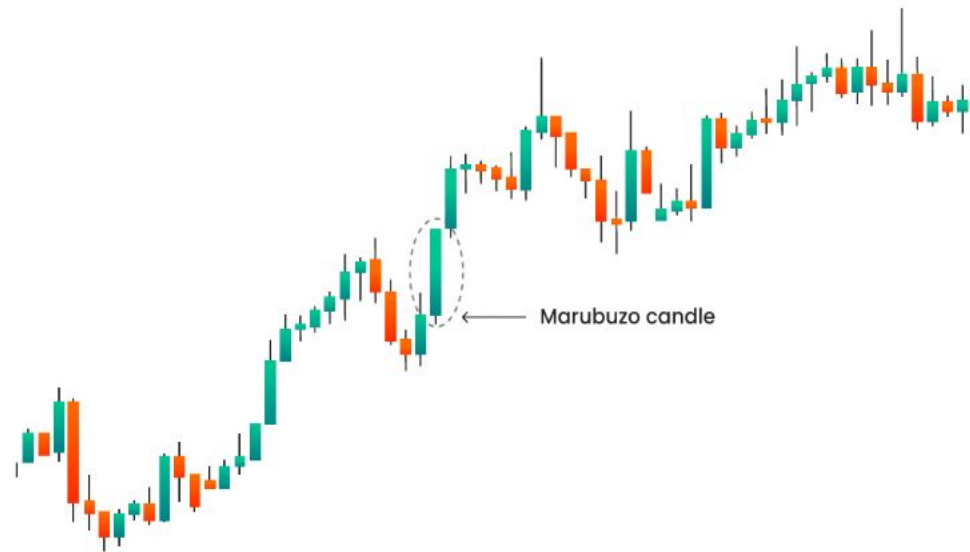
- The Marubozu is a powerful single-candlestick pattern that signals strong market conviction. Its name comes from the Japanese word for "bald" or "close-cropped," referring to the fact that it has no shadows (wicks)—or very tiny ones—on either end.
- Visually, it is just a long, solid block of color. This shape tells you that one side (buyers or sellers) was in complete control from the very first second to the very last second of the session.



Bullish Marubozu



Bearish Marubozu



Engulfing Candlestick Pattern

The Engulfing Candlestick Pattern is a powerful two-candle reversal pattern that signals a significant shift in market control from buyers to sellers, or vice-versa.

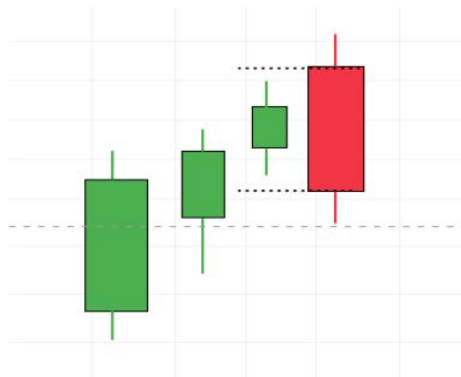
1. Bullish Engulfing Pattern (Reversal to the Upside)

This pattern signals a potential reversal of a downtrend into an uptrend. It shows that buyers have suddenly overpowered the sellers.



2. Bearish Engulfing Pattern (Reversal to the Downside)

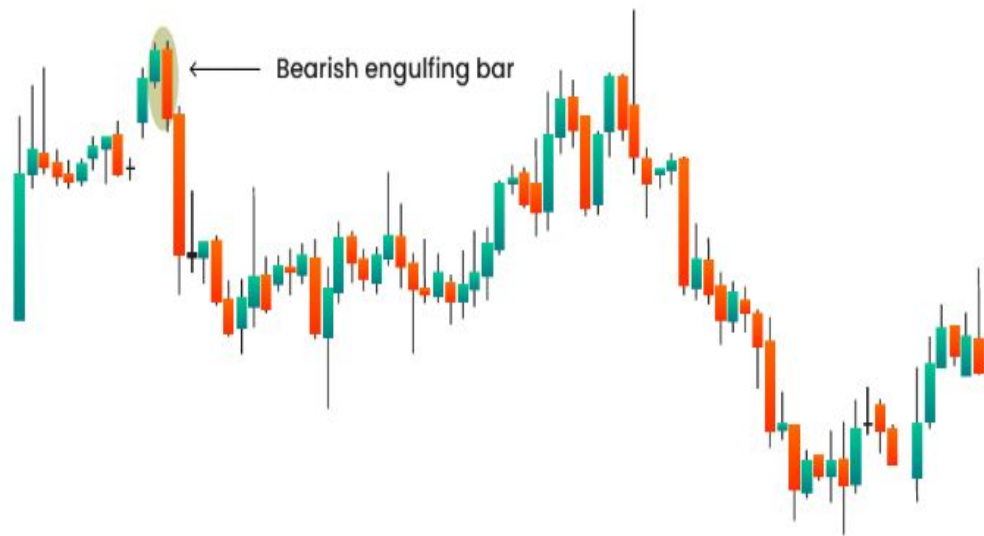
This pattern signals a potential reversal of an uptrend into a downtrend. It shows that sellers have suddenly overpowered the buyers.



Bullish Engulfing

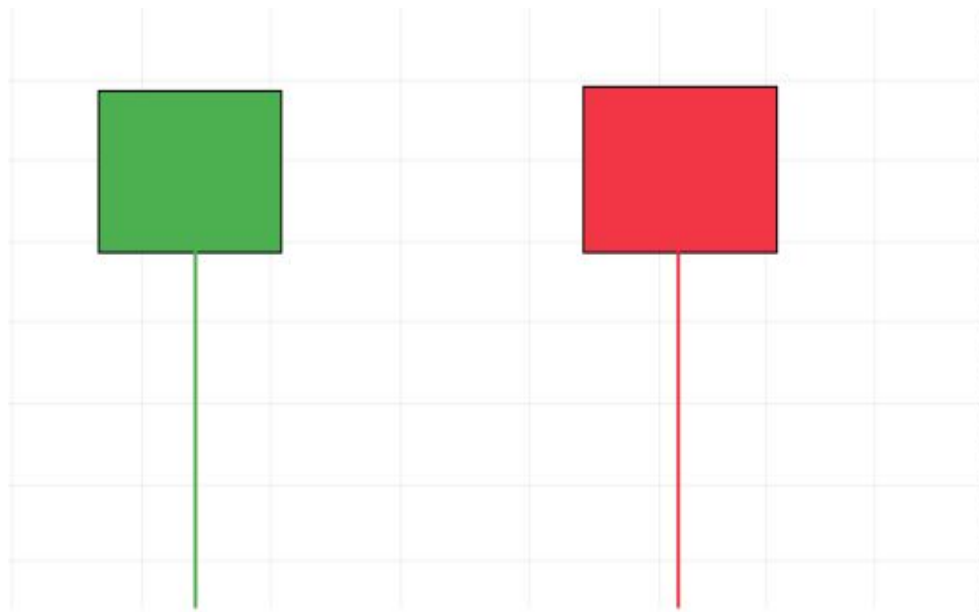


Bearish Engulfing



Hammer Candle

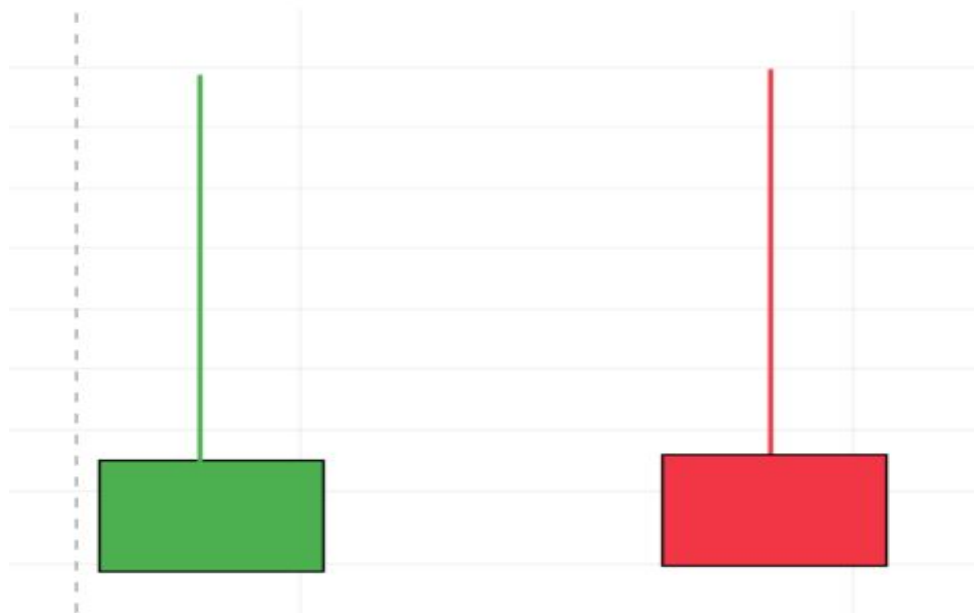
- The Hammer is a bullish reversal pattern that typically appears at the bottom of a downtrend. Its unique shape signals that sellers pushed the price down aggressively during the period, but buyers stepped in just as aggressively to completely reject those lower prices and push the price back up near the open.
- The color is less important than the shape and location, but a green (bullish) body, where the close is higher than the open, is generally considered a slightly stronger reversal signal.





Inverted Hammer

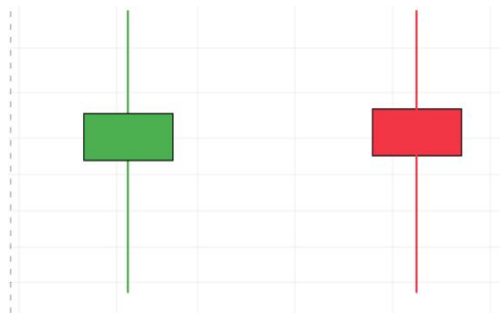
- It has a small body at the lower end of the trading range and a long upper shadow. The long upper wick indicates that buyers pushed the price higher during the session, but sellers regained control before the close.
- The color is less important, shape and location of the candle matters.





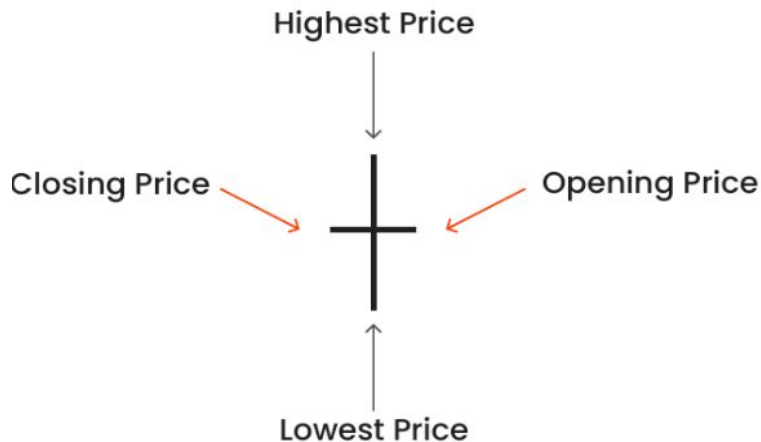
Spinning Top

- A Spinning Top is a candlestick pattern that signals indecision in the market. It represents a stalemate where neither buyers nor sellers could gain the upper hand.
- Note on Color: The color of the body (Green or Red) is not very important. The shape is what matters.



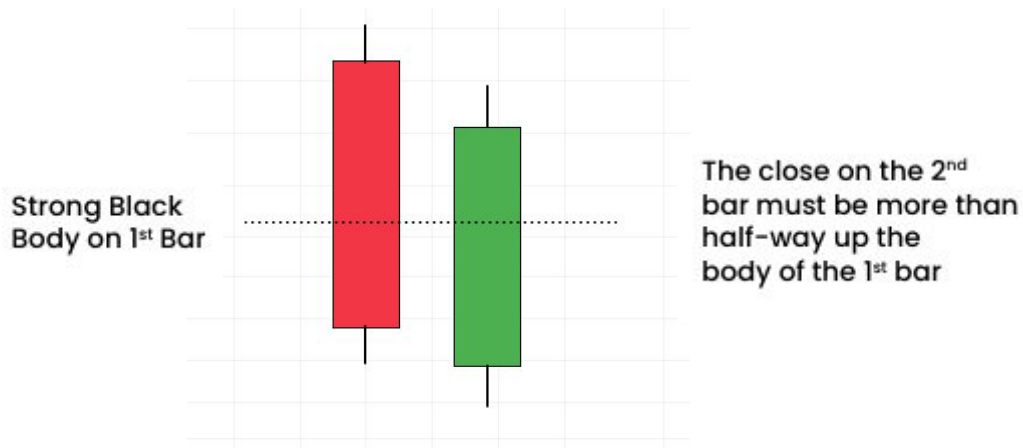
Doji Candlestick Pattern

- A Doji is a candlestick pattern where the opening price and closing price are almost the same.
- This shows indecision in the market — neither buyers nor sellers are in full control.



THE PIERCING PATTERN

The Piercing Pattern is viewed as a bullish candlestick reversal pattern similar to the bullish engulfing pattern. See how it looks like below

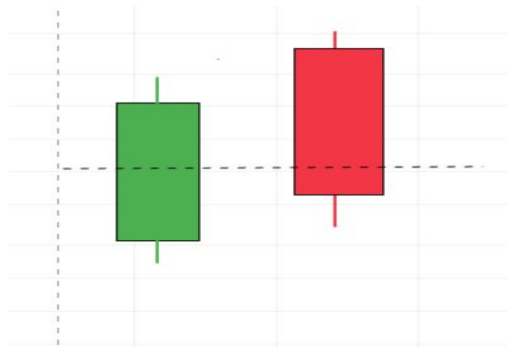


PIERCING PATTERN



Dark Cloud Cover

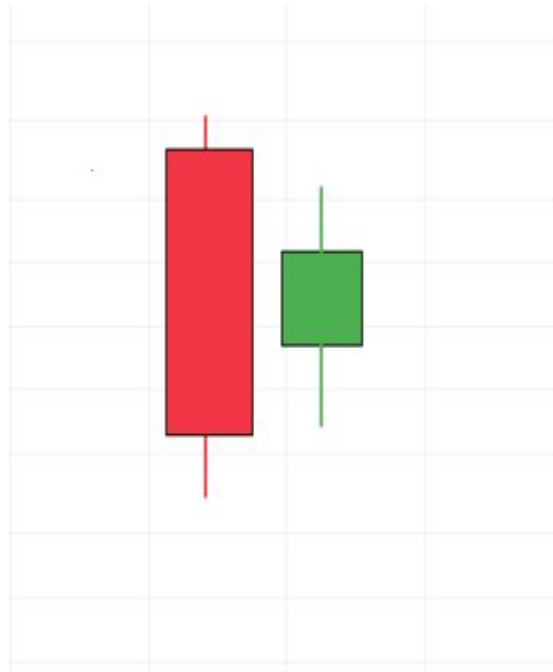
- The Dark Cloud Cover pattern is the exact mirror image of the Piercing Pattern, making it a powerful bearish reversal signal.
- It often signals that the "sun" (the bullish trend) is ending and "dark clouds" (selling pressure) are moving in.





The Inside Bar (Harami Pattern)

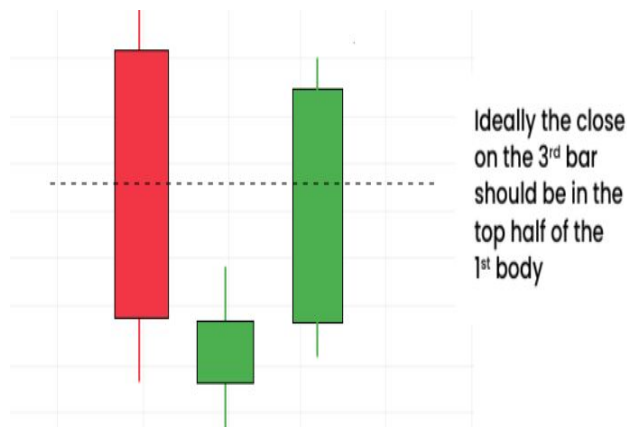
- The inside bar is one of the most common candlestick patterns you will come across, so it is important to recognize it, to understand what it means, and to understand its limitations. An inside bar is two-session reversal pattern, it is made up of two candlesticks, and implies that the price is in an indecision phase, and the breakout of this pattern means that the market went out of range and will go in the direction of the breakout.





Morning Star (Bullish Reversal)

The Morning Star pattern is a strong signal that a downtrend is ending and a new uptrend is beginning. It is named for the star that precedes the sunrise, signaling the shift from darkness (selling) to light (buying).



Morning Star



Evening Star (Bearish Reversal)

The Evening Star pattern is the opposite of the Morning Star. It signals that an uptrend is ending and a new downtrend is beginning. It represents the star that appears just before nightfall, signaling the shift from light (buying) to darkness (selling).



Evening Star



THANK YOU